

Business Requirements Document

ChurnGuard — Churn-Risk Detection & Retention Workflow

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Version	1.0 (Approved)
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Business sponsor	VP, Customer Success
Delivery team	CRM Engineering, Data & BI, Customer Success Operations
Status	Approved for functional design

Revision history

Ver	Date	Author	Change
0.1	Week 1	S. Tiwari	Initial draft after discovery workshops 1–3
0.5	Week 2	S. Tiwari	Added signal definitions and benefits case; scope negotiated to R1/R2
0.9	Week 3	S. Tiwari	Incorporated Finance review of ARR-at-risk definition
1.0	Week 3	S. Tiwari	Approved at Business Requirements Review

1. Executive summary

Threecolts provides SaaS tooling to e-commerce sellers operating across Amazon, Walmart, eBay, Etsy, Shopify and TikTok Shop. Retention in the high-value segment currently depends on individual CSM judgement and on the customer volunteering that something is wrong. Risk is identified late — typically at renewal — leaving too little time for a meaningful save.

ChurnGuard introduces a daily, explainable churn-risk score for every high-value account, derived from five weighted signals spanning product usage, marketplace/store health, support experience, commercial behaviour and relationship engagement. Accounts crossing a risk threshold generate an SLA-bound retention task routed to the owning CSM, with the contributing signals and a recommended playbook attached. Interventions are tracked to a recorded outcome so the business can measure save rate rather than infer it.

2. Business problem

Discovery covered eight sessions with Customer Success leadership, four CSMs, Support, RevOps and Finance, plus a review of 24 months of closed-lost renewal records.

Ref	Problem	Evidence from discovery
P-1	Churn is discovered at cancellation, not before	In the sampled closed-lost renewals, the first recorded internal note about the risk was raised a median of 11 days before the cancellation request
P-2	No shared definition of "at risk"	Three CS teams used three different informal criteria; the same account could be flagged by one manager and not another
P-3	Marketplace-side deterioration is invisible to CS	Connector disconnects, sync error spikes and marketplace account warnings sat in product logs; nothing surfaced them to the CSM
P-4	Coverage is inconsistent across ~200 high-value accounts	Accounts without a recent touchpoint were not identifiable without a manual export and reconciliation
P-5	Risk reporting is manual and unauditable	A monthly at-risk list was compiled by hand from CRM exports, support extracts and CSM recollection
P-6	Save outcomes are not measured	Intervention activity was logged in free-text notes; no structured link between an identified risk, the action taken and the renewal result

3. Business objectives

Ref	Objective	Measure	Baseline	Target	Horizon
BO-1	Reduce voluntary churn in the high-value segment	Annualised logo churn rate, high-value segment	Segment baseline at go-live	30% relative reduction	Two renewal quarters post-launch
BO-2	Protect recurring revenue through earlier intervention	ARR attached to accounts entering Critical tier that renew	Not measurable today	\$120K+ ARR retained per quarter	Quarterly from Q+1
BO-3	Guarantee risk visibility across the	% of high-value accounts holding a score refreshed within	~0% (ad-hoc)	100%	At go-live

	segment	24h			
BO-4	Shorten time from risk emergence to first contact	Mean days, tier change → first logged CSM touch	~21 days (sampled)	≤ 3 business days	30 days post-launch
BO-5	Remove manual risk reporting effort	CS Ops hours per month spent compiling at-risk lists	~10 hours	< 1 hour	At go-live
BO-6	Make retention outcomes measurable	% of Critical-tier accounts with a closed retention case and recorded outcome	0%	≥ 95%	60 days post-launch

4. Scope

4.1 In scope — Release 1

- Daily risk scoring for accounts in the High-Value segment (ARR ≥ segment threshold, active subscription)
- Five-signal weighted scoring model with configurable weights and thresholds
- Three-tier risk classification and tier-change detection
- Automated retention task creation, assignment and SLA tracking against the account's owning CSM
- Playbook recommendation based on the dominant risk driver
- Retention Case record capturing intervention, actions and outcome
- Account-level risk detail view showing signal-by-signal contribution
- Leadership dashboard: tier distribution, ARR at risk, SLA compliance, save rate
- 13-month score history retention

4.2 Out of scope — Release 1

Item	Rationale	Disposition
Predictive/ML churn probability model	Insufficient labelled history at project start; rules-based model needed first to generate clean training data	Deferred to R2
Mid-market and SMB segments	Different economics and CSM ratios; requires its own weighting	Deferred to R2
Automated customer-facing outreach (email/in-app)	Requires marketing governance and consent review	Out of programme
Expansion/upsell opportunity scoring	Separate initiative, separate sponsor	Out of programme
Renewal forecasting in Finance systems	Owned by Finance; ChurnGuard supplies data only	Interface only

4.3 Assumptions

Ref	Assumption	Owner	Impact if false
A-1	Product usage telemetry is available at account level with ≤24h latency	Data Engineering	Signal S1 unusable; model reweights to four signals
A-2	Every high-value account has one accountable CSM recorded in CRM	CS Ops	Task routing fails; fallback to CS Manager queue
A-3	Marketplace connector health events are retrievable per account	Platform Engineering	Signal S2 degraded to disconnect events only
A-4	Support ticket data is joinable to CRM Account ID	Support Ops	Signal S3 unusable
A-5	Billing status is exposed to CRM via the existing sync	RevOps	Signal S4 falls back to renewal-date proximity only

4.4 Constraints

- Scoring must run within the existing CRM platform licence; no new platform purchase in R1
- Nightly batch window is 02:00–04:00 IST; scoring must complete inside it
- No customer PII may leave the CRM boundary for scoring purposes
- CSM headcount is fixed; the design must not increase per-account workload

4.5 Dependencies

Ref	Dependency	On	Needed by
D-1	Usage data mart exposing daily account activity	Data Engineering	Design freeze
D-2	Connector health event feed	Platform Engineering	Sprint 2
D-3	Confirmed High-Value segment definition	Finance / RevOps	Requirements sign-off
D-4	Signed-off playbook content per risk driver	CS Enablement	UAT entry

5. Stakeholders

Stakeholder	Role in project	Interest	Influence	Engagement approach
VP Customer Success	Sponsor, approver	High	High	Weekly steering; approves BRD, FRD and UAT sign-off

CS Managers (×3)	Business owners	High	High	Discovery workshops, tier threshold agreement, UAT participants
CSMs (Tier 1 & 2)	End users	High	Medium	Shadowing sessions, wireframe walkthroughs, UAT execution
CS Operations	Process owner	High	Medium	Playbook definition, task routing rules, hypercare
Support Lead	Data provider	Medium	Medium	Signal S3 definition, ticket data mapping
RevOps / Finance	Data provider, beneficiary	Medium	High	ARR-at-risk definition, segment boundary, benefits validation
Data & BI	Delivery	High	Medium	Signal validation in SQL, dashboard build
CRM Engineering	Delivery	High	Medium	Scoring engine, CRM objects, automation
Information Security	Governance	Low	High	Access model and audit review before UAT

6. Business requirements

Priority uses MoSCoW. Every requirement is traced forward in `05_RTM_ChurnGuard.xlsx`.

ID	Business requirement	Rationale / problem addressed	Priority
BR-01	The business must hold a single, consistently calculated churn-risk score for every high-value account, refreshed at least daily	P-1, P-2 · BO-3	Must
BR-02	The score must be derived from five weighted signals covering product usage, marketplace/store health, support experience, commercial behaviour and relationship engagement	P-2, P-3	Must
BR-03	Accounts must be classified into agreed risk tiers, and movement between tiers must be detected and retained	P-2 · BO-4	Must
BR-04	When an account enters a higher risk tier, the owning CSM must be alerted automatically and given a due date under an agreed SLA	P-1, P-4 · BO-4	Must
BR-05	Each alert must carry a recommended retention playbook selected from the account's dominant risk driver	P-2	Must
BR-06	A CSM must be able to see exactly which signals drove a score, with the underlying values and the period compared	P-2, P-3	Must
BR-07	Every intervention must be recorded as a structured retention case, closed with an outcome reason	P-6 · BO-6	Must
BR-08	Leadership must have a dashboard showing tier distribution, ARR at risk, SLA compliance and save rate, filterable by team and CSM	P-5 · BO-5	Must
BR-09	Score history must be retained for 13 months to support trend analysis and future model tuning	P-6	Must
BR-10	Signal weights, tier thresholds and SLA durations must be adjustable by an authorised business administrator without a code release	Change agility	Must
BR-11	Scoring must be suppressed, and the account flagged, where source data is stale or incomplete, rather than producing a misleading score	Trust in the model	Must
BR-12	Access to risk data must follow the existing CRM role model, and all score, weight and case changes must be auditable	Governance	Must
BR-13	CSMs must be able to record a justified override of a risk tier, with reason and expiry	Field trust, edge cases	Should
BR-14	The business must be able to compare predicted risk against actual renewal outcome to evaluate model accuracy	Continuous improvement	Should
BR-15	Risk tier and score must be available to the renewal forecast consumed by Finance	Downstream value	Could

7. Risk-signal framework (business view)

Agreed with CS leadership in workshop 4; weights ratified by the sponsor.

Signal	What it tells the business	Weight
S1 · Product usage decline	The customer is disengaging from the software itself — fewer active days, fewer orders processed, narrower feature use	30%
S2 · Marketplace & store health	The customer's own selling operation is deteriorating — connector disconnects, sync failure spikes, GMV decline, marketplace account warnings	25%
S3 · Support experience	The customer is in friction — ticket volume above baseline, severity, SLA breaches, reopened tickets, low CSAT	20%
S4 · Commercial & billing	Commercial intent is weakening — failed payments, overdue invoices, seat or plan downgrade, renewal approaching with no activity	15%
S5 · Relationship engagement	The relationship is thinning — no meaningful contact, missed QBRs, champion departure, unanswered outreach	10%

Weighting rationale: S1 and S2 lead because in a seller-tools business, both software disengagement and marketplace-side decline precede cancellation, and neither was previously visible to CS. S5 is weighted lowest because contact records are the least reliable data source at baseline.

Tiers: Stable 0–39 · Watch 40–69 · Critical 70–100.

Alert SLA: Critical — first touch within 1 business day. Watch — within 3 business days. Stable → Critical in a single move — immediate notification to CSM and CS Manager.

8. Benefits case

Benefit	Type	Basis of measurement
Reduction in voluntary high-value churn	Financial	Segment churn rate, two renewal quarters post-launch vs. same period prior year

Recurring revenue protected	Financial	ARR of accounts that entered Critical tier, received an intervention and renewed
CS Ops effort released	Efficiency	Hours previously spent compiling the manual at-risk list
Earlier intervention window	Operational	Mean days from tier change to first logged touch
Auditable retention record	Governance	% of Critical accounts with a closed case and outcome reason

Benefits realisation is reviewed at 30, 60 and 90 days post-launch against the baselines captured in the week before go-live. Baseline capture is a delivery task, not an assumption.

9. Risks

Ref	Risk	Prob.	Impact	Response
R-1	Signal data quality is worse than discovery suggested, producing false positives that destroy CSM trust	High	High	Mitigate — validate every signal in SQL against 6 months of history before build; BR-11 suppression rule; two-week shadow-scoring period before alerts go live
R-2	CSMs treat alerts as surveillance and disengage	Medium	High	Mitigate — CSMs in design from workshop 2; explainability (BR-06) and override (BR-13) as first-class requirements; framing as workload prioritisation
R-3	Alert volume overwhelms a fixed CSM headcount	Medium	Medium	Mitigate — calibrate thresholds against historical data to a target daily alert volume; tunable via BR-10
R-4	Nightly batch exceeds the window as the account base grows	Low	Medium	Mitigate — incremental scoring, performance NFR in SRS, load test at 3× current volume
R-5	Weights become stale as the product and marketplace mix change	Medium	Medium	Accept + monitor — quarterly review using BR-14 accuracy comparison
R-6	Segment definition changes mid-delivery	Low	High	Mitigate — D-3 signed off before requirements freeze; segment held as configuration, not logic

10. Approval

Role	Name	Decision	Date
Business sponsor — VP Customer Success		Approved	
CS Operations Lead		Approved	
RevOps / Finance representative		Approved	
Delivery lead — CRM Engineering		Approved	
Author — Senior Business Analyst	Shubham Tiwari	Submitted	